

Highlights from the call with an SDE-3

- The engineer explained the product development cycle from a technical perspective, highlighting where and how legal teams are involved throughout the process.

Internal Company Rules (“Law 0”)

- There are certain rules that are not formal laws but are company-specific policies that must always be followed. For the purpose of this document, these rules are referred to as “Law 0.”
- Example: Due to political and security concerns, many US-based tech companies avoid using Chinese AI models or technologies, even if they are cheaper or technically better.
- Additional examples of such policies include data residency policies, where companies avoid storing or processing sensitive data in certain countries even if it is technically allowed by law, and vendor restrictions, where companies avoid working with specific third-party providers due to internal security, geopolitical, or compliance risk assessments.
- Employees are briefed about these rules when they join the company. This onboarding stage represents the first point where lawyers are involved, as legal teams help define and communicate these internal compliance requirements.

Stage 1 : Idea Formation

- A technical team working on a project first devises a rough product idea while keeping Law 0 policies in mind.

Stage 2 : Initial Legal Review

- A formal report describing the proposed idea is prepared and sent to the legal team for an initial compliance review.
- It is extremely beneficial if the legal team is in-house, as this significantly reduces the time taken for feedback and clarification.
- This stage represents the second point where lawyers are involved.

Stage 3 : Revision Based on Legal Feedback

- The development team modifies the project based on feedback from the legal team.
- A second report containing the list of implemented changes is then submitted to the legal team for another review.
- This represents the third stage where lawyers are involved.

Stage 4 : Development and Final Compliance Review

- Once the project receives approval, the development team proceeds with full implementation.
- After the product is completed, it undergoes another legal review before being released to the market.

- This stage is the most important and time-consuming step from a compliance perspective, as the legal team verifies that the final implementation matches the approved design.
- This represents the fourth stage where lawyers are involved.

Stage 5 : Post-Launch Legal Oversight

- After the product is launched, the legal team remains on standby for any compliance issues that may arise.
- If an issue occurs, the legal team handles regulatory responses, including documentation, payment of fines, and litigation if necessary.
- This represents the fifth and final stage where lawyers are involved.

Communication Gap Between Legal Teams and Engineers

- A major problem arises when the legal team is outsourced rather than in-house.
- External lawyers typically explain compliance issues using legal language, while engineers operate using technical terminology.
- As a result, engineers often struggle to understand legal feedback, which slows down development.
- According to the engineer, this problem is largely solved when the legal team is in-house, as communication becomes faster and clearer between lawyers and technical teams.